



THE BIG SHIFT Co-founders Kunal Bahl (left) and Rohit Bansal have left the day-to-day running of Snapdeal to CEO Himanshu Chakrawarti

THE DEFINING SHIFT

Back in 2017, Snapdeal's 2.0 journey kicked off with a strategic makeover, starting with exiting money-draining, hard-to-sell, heavily commoditised categories that no longer resonated with its new, value-hunting customer base. The platform bid farewell to categories such as smartphones and large appliances that contributed to about 50–60 per cent of the business. Instead, it doubled down on home, fashion, and general merchandise categories. Value fashion is the largest category on the platform today, accounting for nearly 50 per cent of the business. Over 90 per cent of the products on the platform are priced under ₹1,000, and 75 per cent of its business comes in from Tier II cities and beyond.

But this transformation was a slow burn, and left a dent in the company's top line. Revenue from operations plummeted from ₹1,158.9 crore in FY16 to ₹436.1 crore in FY18. And just when the new business was showing promise, the pandemic hit.

In late 2021, retail industry veteran Himanshu Chakrawarti was brought in as the President of the Snapdeal marketplace business, with Bahl and Bansal stepping aside from daily operations to take on more strategic roles. Chakrawarti previously led Arvind Lifestyle Brands' value fashion retail chain.

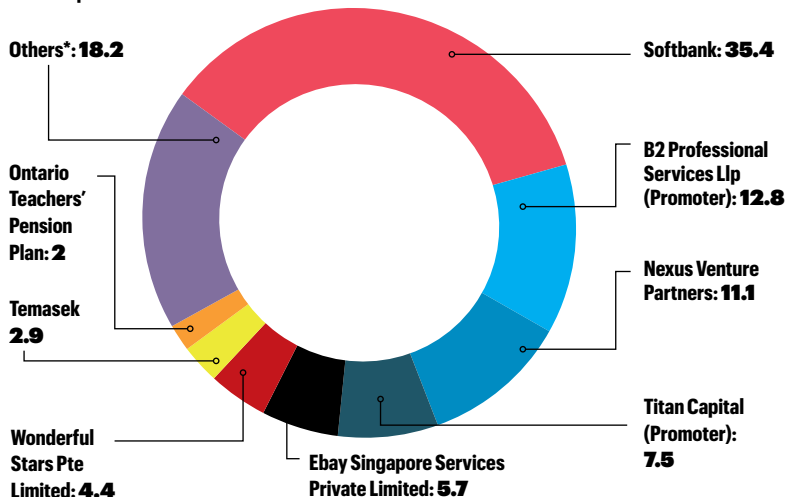
Former and current executives of the firm that *BT* spoke to say the founders sought to bring in someone with experience in building budget-friendly, ultra-low-value brands. Their experience at Unicommerce, an e-commerce management software provider acquired in 2015 and run by a professional CEO, gave them the confidence to adopt a similar model at Snapdeal. It took about a year for Chakrawarti and the founders to get in sync, before

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WHO'S WHO

► SoftBank is the biggest shareholder in the firm with a 35.4 per cent stake

► The promoters have a total holding of 20.7 per cent spread across three entities



SHAREHOLDING IN %; *INCLUDES 0.40% STAKE OF PROMOTER ENTITY BACCA SNAPDEAL MAURITIUS **SOURCE** COMPANY FILINGS, *BT* RESEARCH